www.tntextbooks.in

(v) Up-to-date information

Account balances will always be up to date since the records are automatically updated as and when accounting data are entered or stored.

(vi) Efficiency

The computer based accounting system ensures better use of time and resources.

(vii) Storage and retrieval

Computer based systems require a fractional amount of physical space as compared to the books of accounts in the form of journals, ledgers and accounting registers.

(viii) Works as a motivator to employees

Employees using computer systems feel more valued as they are trained and specialised for the job.

(ix) Automated document production

Accounting reports like trial balance and financial statements are generated automatically and are easily accessible just by a click of the mouse.

(x) MIS Reports

It is easier to monitor and control the business using the real time management reports generated by the computerised information systems.



Student activity

Think: Businesses can benefit by introducing computerised accounting system. But, how would employees feel about this change?

14.4 Limitations of Computerised Accounting System

The main limitations of CAS are being dependent upon the operating environment they work in. Some of them are listed as follows:

(i) Heavy cost of installation

Computer hardware needs replacement and software needs to be updated from time to time with the availability of newer versions.

(ii) Cost of training

To ensure effective and efficient use of computerised system of accounting, newer versions of hardware and software are to be introduced. These require special training and hence, cost is incurred to train the staff personnel.